Accounting Principles

Thirteenth Edition

Weygandt Kimmel Kieso

Chapter 1

Accounting in Action

Prepared by
Coby Harmon
University of California, Santa Barbara
Westmont College

Chapter Outline

Learning Objectives

LO 1 Identify the activities and users associated with accounting.

LO 2 Explain the building blocks of accounting: ethics, principles, and assumptions.

LO 3 State the accounting equation, and define its components.

LO 4 Analyze the effects of business transactions on the accounting equation.

LO 5 Describe the four financial statements and how they are prepared.

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Accounting Activities and Users

Accounting consists of **three activities**

1. **Identification** – Select economic events (transactions)
2. **Recording** - Record, classify, and summarize
3. **Communication**
    - Prepare accounting reports
    - Analyze and interpret for users

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Who Uses Accounting Data

Internal Users

- **Finance** - Is cash sufficient to pay dividends to **Microsoft** stockholders?
- **Marketing** – What price should **Apple** charge for an iPad to maximize net income?
- **Human Resources** – Can **General Motors** afford to give its employees pay raises?
- **Management** - Which **PepsiCo** product line is most profitable? Should any products be eliminated?

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Who Uses Accounting Data

External Users

- **Investors**
  - Is **General Electric** earning satisfactory income?
  - How does **Disney** compare in size and profitability with **Time Warner**?
- **Creditors** – Will **United Airlines** be able to pay its debts as they come due?

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DO IT! 1 | Basic Concepts

Indicate whether each of the statements is **true** or **false**.

1. The three steps in the accounting process are identification, recording, and communication.
2. Bookkeeping encompasses all steps in the accounting process.
3. Accountants prepare, but do not interpret, financial reports.
4. The two most common types of external users are investors and company officers.
5. Managerial accounting focuses on reports for internal users.

Solution: **1.** **2.** **3.** **4.** **5.**

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The Building Blocks of Accounting

Ethics in Financial Reporting

- Financial scandals include: **Enron**, **WorldCom**, **HealthSouth**, **AIG**, and other companies
- Regulators and lawmakers concerned that economy would suffer if investors lost confidence in corporate accounting
  - Congress passed **Sarbanes-Oxley Act (SOX)**
- Effective financial reporting depends on sound ethical behavior

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Ethics in Financial Reporting

Ethics are the standards of conduct by which one's actions are judged as:

a. right or wrong

b. honest or dishonest

c. fair or not fair

d. all of these options

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Generally Accepted Accounting Principles

Various users need financial information



Financial Statements

- Balance Sheet
- Income Statement
- Owner's Equity Statement
- Statement of Cash Flows
- Note Disclosure



The accounting profession has developed standards that are generally accepted and universally practiced.



Generally Accepted Accounting Principles (GAAP)

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Generally Accepted Accounting Principles

Standards that are generally accepted and universally practiced. These standards indicate how to report economic events.

Standard-setting bodies:

- **Financial Accounting Standards Board (FASB)**
- **Securities and Exchange Commission (SEC)**
- **International Accounting Standards Board (IASB)**

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Measurement Principles

Historical Cost Principle (or cost principle)

- Record assets at their cost.

Fair Value Principle

- Assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability)

Selection of which principle to follow generally relates to trade-offs between **relevance** and **faithful representation**.

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Assumptions

Monetary Unit Assumption

- Include in accounting records only transaction data that can be expressed in terms of money

Economic Entity Assumption

- Activities of entity be kept separate and distinct from activities of its owner and all other entities
  - **Proprietorship**
  - **Partnership**
  - **Corporation**

Forms of Business Ownership

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Forms of Business Ownership

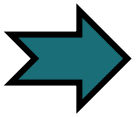
Proprietorship	Partnership	Corporation
• Owned by one person • Owner is often manager/operator • Owner receives any profits, suffers any losses, and is personally liable for all debts	• Owned by two or more persons • Often retail and service-type businesses • Generally unlimited personal liability • Partnership agreement	• Ownership divided into shares of stock • Separate legal entity organized under state corporation law • Limited liability

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Assumptions

Combining the activities of Kellogg and General Mills would violate the

a. cost principle



b. economic entity assumption

c. monetary unit assumption

d. ethics principle.

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Assumptions

A business organized as a separate legal entity under state law having ownership divided into shares of stock is a

a. proprietorship
b. partnership
c. corporation
d. sole proprietorship

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DO IT! 2 | Building Blocks of Accounting

Indicate whether each of the statements is **true** or **false**.

1. Congress passed the Sarbanes-Oxley Act to reduce unethical behavior and decrease the likelihood of future corporate scandals.
2. The primary accounting standard-setting body in the United States is the Financial Accounting Standards Board (FASB).
3. The historical cost principle dictates that companies record assets at their cost. In later periods, however, the fair value of the asset must be used if fair value is higher than its cost.

Solution: **1.** **2.** **3.**

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DO IT! 2 | Building Blocks of Accounting

Indicate whether each of the statements is **true** or **false**.

4. Relevance means that financial information matches what really happened; the information is factual.
5. A business owner's personal expenses must be separated from expenses of the business to comply with accounting's economic entity assumption.

Solution: **1. True** **2. True** **3. False** **4.** **5.**

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The Accounting Equation



Basic Accounting Equation

- Provides underlying framework for recording and summarizing economic events
- Assets are claimed by either creditors or owners
- If a business is liquidated, claims of creditors must be paid before ownership claims

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The Accounting Equation



Assets

- Resources a business owns
- Provide future services or benefits
- Cash, Supplies, Equipment, etc.

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The Accounting Equation



Liabilities

- Claims against assets (debts and obligations)
- Creditors (party to whom money is owed)
- Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

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The Accounting Equation



Owner's Equity

- Ownership claim on total assets
- Referred to as residual equity
- Investment by owners and revenues (+)
- Drawings and expenses (-)

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The Accounting Equation

ILLUSTRATION 1.6
Expanded accounting equation

Equation	Assets = Liabilities + Owner's Equity
Expanded Equation	Assets = Liabilities + Owner's Capital - Owner's Drawings + Revenues - Expenses

Increase in Owner's Equity

- **Investment by Owner.** Assets the owner puts into the business
- **Revenues.** Increases in assets or decreases in liabilities resulting from sale of goods or performance of services in normal course of business

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The Accounting Equation

ILLUSTRATION 1.6
Expanded accounting equation

Equation	Assets = Liabilities + Owner's Equity
Expanded Equation	Assets = Liabilities + Owner's Capital - Owner's Drawings + Revenues - Expenses

Decrease in Owner's Equity

- **Drawings.** A withdraw of cash or other assets for personal use
- **Expenses.** Cost of assets consumed or services used in the process of earning revenue

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DO IT! 3 | Owner's Equity Effects

Classify the following items as investment by owner, owner's drawings, revenues, or expenses. Then indicate whether each item increases or decreases owner's equity.

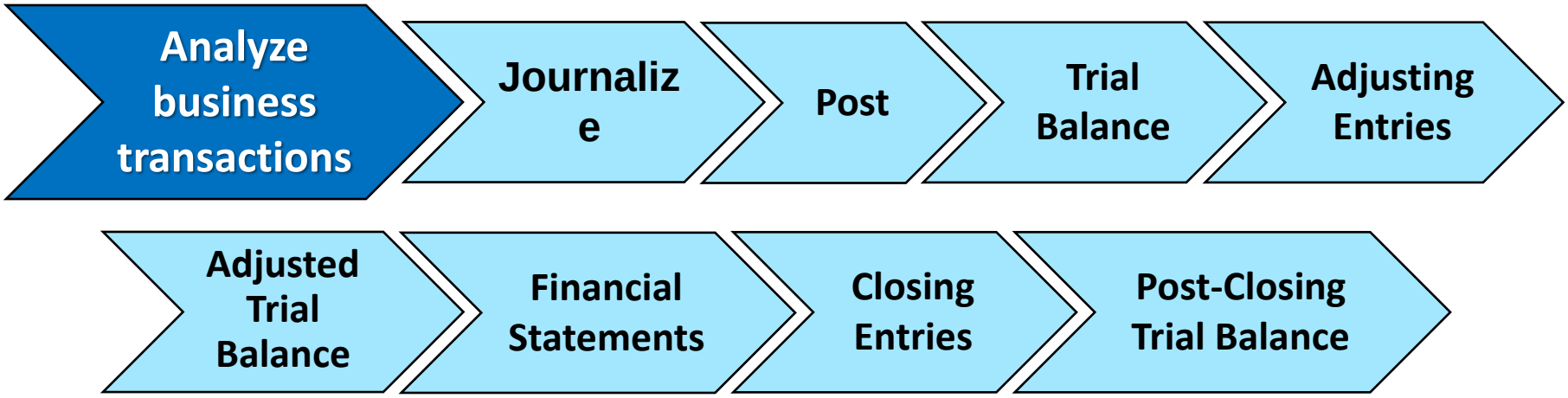
	Classification	Effect on Equity
1. Rent Expense		
2. Service Revenue		
3. Drawings		
4. Salaries and Wages Expense		

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Analyzing Business Transactions

Transactions are a business's economic events recorded by accountants.

- May be external or internal
- Not all activities represent transactions
- Have a dual effect on the accounting equation



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Analyzing Business Transactions

Illustration: Are the following events recorded in the accounting records?

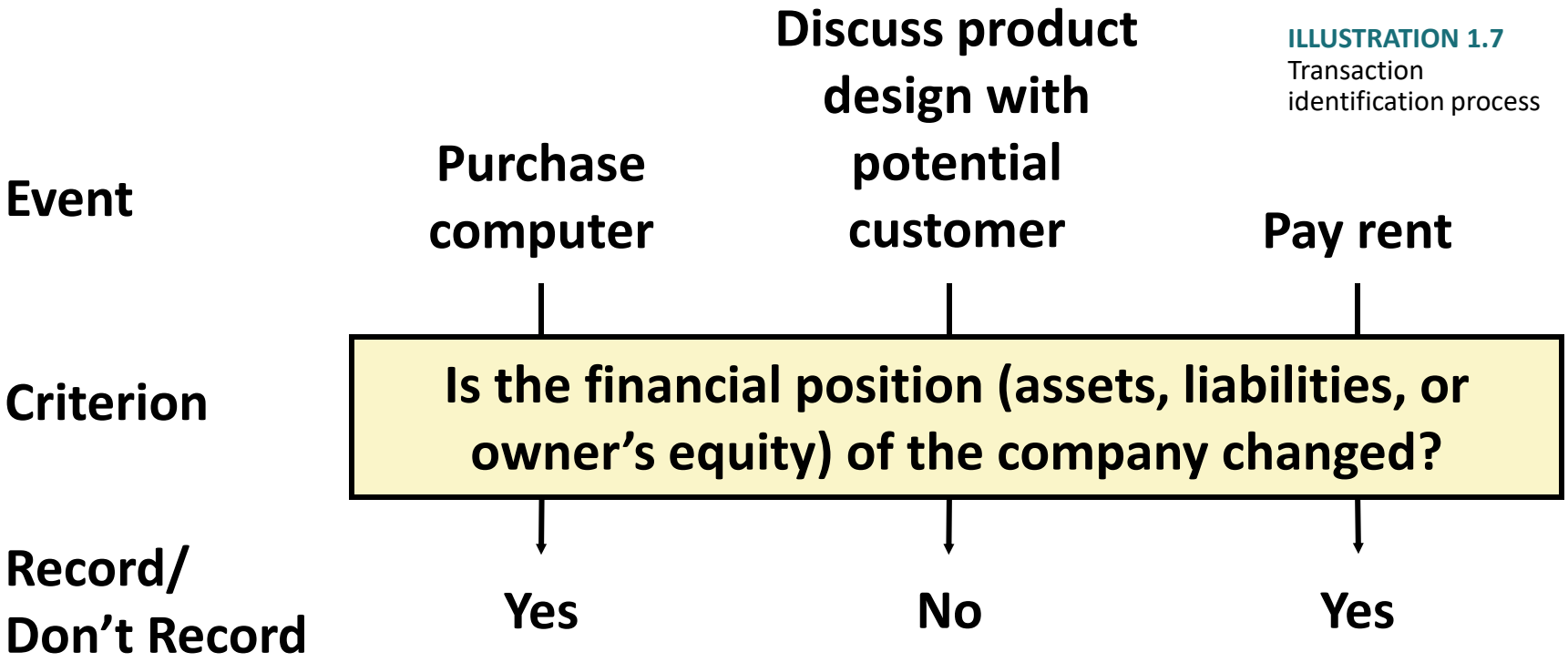


ILLUSTRATION 1.7
Transaction identification process

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Transaction Analysis

Transaction 1. Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2017, he invests $15,000 cash in the business. This transaction results in an equal increase in assets and owner's equity.

	Assets					Liabilities		Owner's Equity				
No.	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense		
1												
2												
3												

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Transaction 2. Softbyte purchases computer equipment for $7,000 cash.

	Assets					Liabilities		Owner's Equity				
No.	Cash	+	Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense		
1	+$15,000						+$15,000					
2												
3												
4												
5												
6												
7												
8												
9												
10												

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Transaction 3. Softbyte Inc. purchases for $1,600 headsets and other accessories expected to last several months. The supplier allows Softbyte to pay this bill in October.

	Assets				Liabilities	Owner's Equity			
		Accounts			Accounts	Owner's	Owner's		
No.	Cash	+ Receivable	+ Supplies	+ Equipment	= Payable	+ Capital	- Drawings	+ Revenue	- Expense
1	+$15,000					+$15,000			
2	-7,000			+$7,000					
3									
4									
5									
6									
7									
8									
9									
10									

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Transaction 4. Softbyte receives $1,200 cash from customers for app development services it has performed.

	Assets					Liabilities	Owner's Equity				
		Accounts				Accounts	Owner's	Owner's			
No.	Cash	+ Receivable	+ Supplies	+ Equipment	=	Payable	+ Capital	- Drawings	+ Revenue	- Expense	
1	+$15,000						+$15,000				
2	-7,000			+$7,000							
3			+$1,600			+$1,600					
4											
5											
6											
7											
8											
9											
10											

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Transaction 5. Softbyte Inc. receives a bill for $250 from the Daily News for advertising on its online website but postpones payment until a later date.

	Assets					Liabilities		Owner's Equity				
		Accounts				Accounts		Owner's	Owner's			
No.	Cash	+ Receivable	+ Supplies	+ Equipment	=	Payable	+	Capital	- Drawings	+ Revenue	- Expense	
1	+$15,000							+$15,000				
2	-7,000			+$7,000								
3			+$1,600			+$1,600						
4	+1,200									+$1,200		
5												
6												
7												
8												
9												
10												

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Transaction 6. Softbyte performs $3,500 of services. The company receives cash of $1,500 from customers, and it bills the balance of $2,000 on account.

	Assets					Liabilities		Owner's Equity					
No.	Cash	+	Accounts Receivable	+	Supplies	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense	
1	+$15,000								+$15,000				
2	-7,000					+$7,000							
3					+$1,600			+$1,600					
4	+1,200										+$1,200		
5								+250				-$250	
6													
7													
8													
9													
10													

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Transaction 7. Softbyte pays the following expenses in cash for September: office rent $600, salaries and wages of employees $900, and utilities $200.

	Assets					Liabilities	Owner's Equity			
		Accounts				Accounts	Owner's	Owner's		
No.	Cash	+ Receivable	+ Supplies	+ Equipment	=	Payable	+ Capital	- Drawings	+ Revenue	- Expense
1	+$15,000						+$15,000			
2	-7,000			+$7,000						
3			+$1,600			+$1,600				
4	+1,200								+$1,200	
5						+250				-$250
6	+1,500	+$2,000							+3,500	
7										
8										
9										
10										

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Transaction 8. Softbyte pays its $250 Daily News bill in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable.

	Assets				Liabilities	Owner's Equity			
		Accounts			Accounts	Owner's	Owner's		
No.	Cash	+ Receivable	+ Supplies	+ Equipment	= Payable	+ Capital	- Drawings	+ Revenue	- Expense
1	+$15,000					+$15,000			
2	-7,000			+$7,000					
3			+$1,600		+$1,600				
4	+1,200							+$1,200	
5					+250				-$250
6	+1,500	+$2,000						+3,500	
7	-600								-600
	-900								-900
	-200								-200
8									
9									
10									

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Transaction 9. Softbyte receives $600 in cash from customers who had been billed for services (in Transaction 6).

	Assets					Liabilities	Owner's Equity				
		Accounts				Accounts	Owner's	Owner's			
No.	Cash	+ Receivable	+ Supplies	+ Equipment	=	Payable	+ Capital	- Drawings	+ Revenue	- Expense	
1	+$15,000						+$15,000				
2	-7,000			+$7,000							
3			+$1,600			+$1,600					
4	+1,200								+$1,200		
5						+250				-$250	
6	+1,500	+$2,000							+3,500		
7	-600									-600	
	-900									-900	
	-200									-200	
8	-250					-250					
9											
10											

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Transaction 10. Ray Neal withdraws $1,300 in cash in cash from the business for his personal use.

	Assets				Liabilities	Owner's Equity			
No.	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense
1	+$15,000					+$15,000			
2	-7,000			+$7,000					
3			+$1,600		+$1,600				
4	+1,200							+$1,200	
5					+250				-$250
6	+1,500	+$2,000						+3,500	
7	-600								-600
	-900								-900
	-200								-200
8	-250				-250				
9	+600	-600							
10									
	$18,050				$18,050				

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Summary of Transactions

1. Each transaction analyzed in terms of effect on:
    a. Three components of basic accounting equation
        - Assets
        - Liabilities
        - Owner's equity
    b. Specific types of items, such as Cash
2. Two sides of equation must always be equal

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DO IT! 4 | Tabular Analysis

Transactions made by Virmari & Co., a public accounting firm, for the month of August are shown below. Prepare a tabular analysis which shows the effects of these transactions on the expanded accounting equation, similar to that shown in Illustration 1.8.

1. The owner invested $25,000 cash in the business.
2. The company purchased $7,000 of office equipment on credit.
3. The company received $8,000 cash in exchange for services performed.
4. The company paid $850 for this month's rent.
5. The owner withdrew $1,000 cash for personal use.

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DO IT! 4 | Tabular Analysis

Transaction 1. The owner invested $25,000 cash in the business.

	Assets			Liabilities		Owner's Equity				
No.	Cash	+ Equipment	=	Accounts Payable	+	Owner's Capital	- Owner's Drawings	+ Revenue	- Expense	
1										
2										
3										
4										
5										

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DO IT! 4 | Tabular Analysis

Transaction 2. The company purchased $7,000 of office equipment on credit.

	Assets			Liabilities		Owner's Equity				
No.	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense		
1	+$25,000				+$25,000					
2										
3										
4										
5										

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DO IT! 4 | Tabular Analysis

Transaction 3. The company received $8,000 cash in exchange for services performed.

	Assets			Liabilities		Owner's Equity				
No.	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense		
1	+$25,000				+$25,000					
2		+$7,000		+$7,000						
3										
4										
5										

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DO IT! 4 | Tabular Analysis

Transaction 4. The company paid $850 for this month's rent.

	Assets			Liabilities		Owner's Equity				
No.	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense		
1	+$25,000				+$25,000					
2		+$7,000		+$7,000						
3	+8,000						+$8,000			
4										
5										

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DO IT! 4 | Tabular Analysis

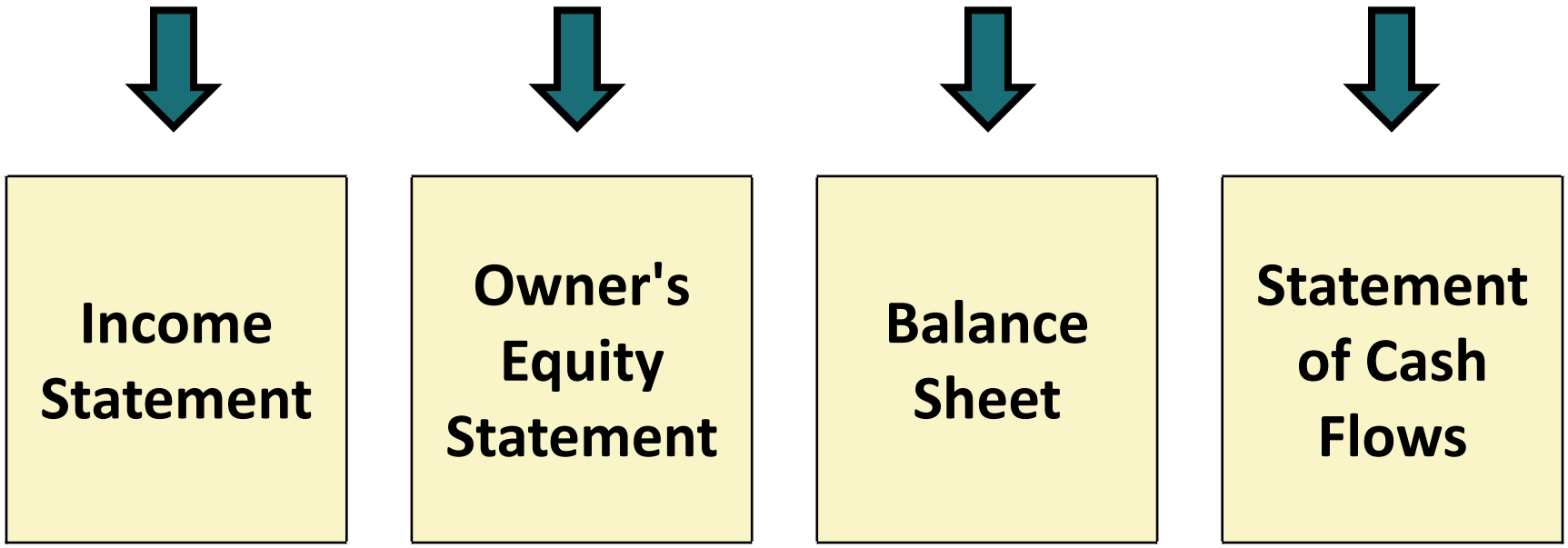
Transaction 5. The owner withdrew $1,000 cash for personal use.

	Assets			Liabilities	Owner's Equity				
No.	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Revenue	- Expense	
1	+$25,000				+$25,000				
2		+$7,000		+$7,000					
3	+8,000						+$8,000		
4	-850							-$850	
5									
	$31,150			$31,150					

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The Four Financial Statements

Companies prepare four financial statements:



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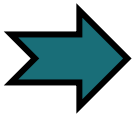
Financial Statements

Net income will result during a time period when:

a. assets exceed liabilities

b. assets exceed revenues

c. expenses exceed revenues



d. revenues exceed expenses

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Financial Statements

Net income is needed to determine the ending balance in owner's equity.

SOFTBYTE
Income Statement
For the Month Ended September 30, 2017

Revenues		
Service revenue		$ 4,700
Expenses		
Salaries and wages expense	$900	
Rent expense	600	
Advertising expense	250	
Utilities expense	200	
Total expenses		1,950
Net income		$ 2,750

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	2,750	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		$16,450

1

Illustration 1-9
Financial statements and their interrelationships

The ending balance in owner's equity is needed in preparing the balance sheet.

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	2,750	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		$16,450

SOFTBYTE
Balance Sheet
September 30, 2017

Assets	
Cash	$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050
Liabilities and Owner's Equity	
Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	16,450
Total liabilities and owner's equity	$ 18,050

Illustration 1-9
Financial statements and their interrelationships

Financial Statements

Balance sheet and income statement are needed to prepare statement of cash flows.

SOFTBYTE
Balance Sheet
September 30, 2017

Assets	
Cash	$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050
Liabilities and Owner's Equity	
Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	16,450
Total liabilities and owner's equity	$ 18,050

SOFTBYTE
Statement of Cash Flows
For the Month Ended September 30, 2017

Cash flows from operating activities		
Cash receipts from revenues		$ 3,300
Cash payments for expenses		(1,950)
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	$15,000	
Drawings by owner	(1,300)	13,700
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		$ 8,050

Illustration 1-9
Financial statements and their interrelationships

Income Statement

- Reports revenues and expenses for a specific period of time
- Lists revenues first, followed by expenses
- Shows net income (or net loss)
- Does not include investment and withdrawal transactions between owner and business in measuring net income

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Owner's Equity Statement

- Reports changes in owner's equity for a specific period of time
- Time period is the same as that covered by the income statement

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Balance Sheet

- Reports assets, liabilities, and owner's equity at a specific date
- Lists assets at top, followed by liabilities and owner’s equity
- Total assets must equal total liabilities and owner's equity
- Snapshot of company’s financial condition at a specific moment in time (usually month-end or year-end)

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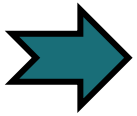
Statement of Cash Flows

- Information on cash receipts and payments for a specific period of time
- Answers the following:
  - Where did cash come from?
  - What was cash used for?
  - What was change in cash balance?

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Financial Statements

Which of the following financial statements is prepared as of a specific date?



a. Balance sheet

b. Income statement

c. Owner's equity statement

d. Statement of cash flows

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DO IT! 5 | Financial Statement Items

Presented below is selected information related to Flanagan Company at December 31, 2020. Flanagan reports financial information monthly.

Equipment	10,000	Utilities Expense	4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

a. Determine the total assets of at December 31, 2020.

b. Determine the net income reported for December 2020.

c. Determine the owner's equity at December 31, 2020.

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DO IT! 5 | Financial Statement Items

Flanagan reports financial information monthly.

Equipment	10,000	Utilities Expense	4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

a. Determine the total assets of at December 31, 2020.

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DO IT! 5 | Financial Statement Items

Flanagan reports financial information monthly.

Equipment	10,000	Utilities Expense	4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

b. Determine the net income reported for December 2020.

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DO IT! 5 | Financial Statement Items

Flanagan reports financial information monthly.

Equipment	10,000	Utilities Expense	4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Owner's Drawings	5,000

c. Determine the owner's equity at December 31, 2020.

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Appendix 1A

Career Opportunities in Accounting

Public Accounting

Careers in auditing, taxation, and management consulting serving the general public.

Private Accounting

Careers in industry working in cost accounting, budgeting, accounting information systems, and taxation.

Governmental Accounting

Careers with the IRS, the FBI, the SEC, public colleges and universities, and in state and local governments.

Forensic Accounting

Uses accounting, auditing, and investigative skills to conduct investigations into theft and fraud.

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